

Kanpur Electricity Supply Company Ltd. & Another v. State of U.P. & Others

High Court of Judicature at Allahabad · Single Judge · 22 November 2011 · WRIT - C No. - 70238 of 2010 · **Licensee's writ dismissed with Rs.5,000 cost; damages of Rs.9095 under para 7.7.2 (Ombudsman-confirmed) affirmed**

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HEADNOTE

Reportable (AFR) single-judge decision affirming a consumer-protection award against a distribution licensee. Respondent no.4 applied for a domestic connection at Arya Nagar, Kanpur, which Kanpur Electricity Supply Company Ltd. (KESCO) refused on legally unsustainable grounds, prompting a first DCGRF order (29.7.2009) that recorded departmental non-transparency and harassment in breach of paragraph 4.6(h) of the U.P. Electricity Supply Code, 2005 and directed release of a 5 KW connection within a month. The licensee released the connection only on 28.8.2009 and without a meter, installing the meter only on 21.12.2009. On a fresh complaint the DCGRF awarded damages of Rs.9095 (Rs.85 per day for 114 days) under paragraph 7.7.2 of the Code, and the Electricity Ombudsman confirmed it. Dismissing the licensee's writ, the Court held that releasing a connection without installing a meter is illegal and unsupported by law, the Statute requiring that a connection be released by installing a meter, and the proviso to Section 55(1) of the Electricity Act, 2003 permitting even a consumer to install a purchased meter himself, so the plea of meter-unavailability was no excuse; that the concurrent findings of delay and laches justified damages under paragraph 7.7.2; and that the consumer had been harassed contrary to paragraph 4.6(h). Finding no error apparent under Article 226 and deprecating frivolous, vexatious litigation by State instrumentalities, the Court dismissed the writ with cost of Rs.5,000 and observed that the Managing Director should have taken departmental action against the defaulting officials instead of protecting them.

FACTUAL SUMMARY

Respondent no.4 applied for an electricity connection at premises 8/56-C, Arya Nagar, Kanpur, but the Kanpur Electricity Supply Company Ltd. (KESCO) did not release it. He approached the District Consumer Grievance Redressal Forum (DCGRF) in Complaint No.55 of 2009, which was allowed by order dated 29.7.2009: the Forum found that the department had shown no transparency in releasing the new connection and had unnecessarily harassed the consumer in breach of paragraph 4.6(h) of the U.P. Electricity Supply Code, 2005, and directed release of a 5 KW connection within one month. The licensee did not comply in time; it released the connection only on 28.8.2009 and without installing any meter. On the consumer's fresh complaint (dated 28.11.2009; Complaint No.128 of 2009) the meter was installed on 21.12.2009, and by order dated 18.2.2010 the DCGRF awarded damages of Rs.9095 (at Rs.85 per day for 114 days) under paragraph 7.7.2 of the Code. The licensee's appeal to the Electricity Ombudsman under Regulation 8.2 of the UPERC (Consumer Grievance Redressal Forum) and Electricity Ombudsman Regulations, 2007 was rejected by order dated 20.7.2010. The licensee, with its Managing Director as petitioner no.1, filed Writ-C No.70238 of 2010 contending that the connection had been released without a meter only because meters were unavailable, that an indent had been placed, and that there was no deliberate fault on its part. Sudhir Agarwal, J. decided the matter on 22 November 2011.

REUSABLE CONSTRUCTIONS

1. Under the Electricity Act, 2003 an electricity connection must be released by installing a meter; releasing a connection without installing a meter is illegal and unsupported by any provision of law. ¶ 9-11
2. The proviso to Section 55(1) of the Electricity Act, 2003 permits a consumer to install a meter himself by purchase; a licensee cannot excuse a meterless release on the unsubstantiated plea that meters were unavailable in its stores. ¶ 11
3. Where a licensee's delay and laches in releasing a connection are concurrently found by the DCGRF and the Electricity Ombudsman, damages under paragraph 7.7.2 of the U.P. Electricity Supply Code, 2005 are rightly imposed, and a writ court will not interfere under Article 226 absent an error apparent on the record. ¶ 12
4. A State instrumentality that pursues frivolous, vexatious litigation - here challenging a modest consumer-protection award for its own default, without showing any error apparent on the record - may be dismissed with cost; the

HOLDING-UNITS

HOLDING-UNIT · EA2003::55

RATIO

Releasing an electricity connection without installing a meter is illegal; the proviso to Section 55(1) lets a consumer install a purchased meter

QUESTION

Is a licensee's release of an electricity connection without installing a meter legal, and can unavailability of meters excuse it?

HOLDING

No. The Statute clearly contemplates that an electricity connection shall be released by installing a meter, and the petitioners' counsel could not dispute that releasing a connection without installing a meter was illegal, unsupported by any provision of law and ex facie contrary thereto. The plea that a meter was unavailable was unsubstantiated - no material showed how or why the meter was unavailable - and in any event the proviso to Section 55(1) permitted a consumer to install a meter himself by purchase, a facility the licensee could have availed. The meterless release, followed by installation only on 21.12.2009, was wholly illegal and unauthorized. ¶ 9-11

EVIDENCE *"The Statute clearly contemplates that electricity connection shall be released by installing a meter." ¶ 9*

EVIDENCE *"Learned counsel for the petitioners could not dispute that releasing of electric connection without installing meter was illegal and not supported by any provisions of law and ex facie contrary thereto." ¶ 10*

EVIDENCE *"Proviso to Sections 55 (1) contemplates that a meter could be installed by a consumer himself by purchasing if he chooses so." ¶ 11*

HOLDING-UNIT · UP-2005::7.7

RATIO

Damages under paragraph 7.7.2 for the licensee's delay and laches, concurrently found and Ombudsman-confirmed

QUESTION

Were damages under paragraph 7.7.2 of the U.P. Electricity Supply Code, 2005 rightly imposed on the licensee for delay in releasing the connection and meter?

HOLDING

Yes. Both the authorities below found the delay and laches on the part of the petitioners fully proved and fortified; damages in accordance with the rules prescribed in paragraph 7.7.2 were therefore to be imposed, were imposed by the DCGRF (Rs.9095 at Rs.85 per day for 114 days) and were confirmed by the Electricity Ombudsman. The licensee could not point out any error apparent on the face of the record warranting interference under Article 226. ¶ 12

EVIDENCE *"both the authorities below found that the delay and laches on the part of the petitioners was fully proved and fortified. Hence damages in accordance with rules prescribed in paragraph 7.7.2 was to be imposed which has been imposed by means of impugned order and the Electricity Ombudsman have confirmed it." ¶ 12*

FLAG Judgment marked 'AFR' (Approved For Reporting) with numbered paragraphs 01-14; pins are paragraph numbers. Pages 1-6 carry order-sheets (3.12.2010 to 15.11.2011, including a Division-Bench reference to a Single Judge) preceding the reasoned single-judge judgment of 22.11.2011; the DCGRF order of 29.7.2009 is reproduced partly in Hindi.

HOLDING-UNIT · UP-2005::4.6

RATIO

Breach of paragraph 4.6(h): non-transparency and harassment in releasing a new connection

QUESTION

Did the licensee's refusal and delay in releasing the new connection breach paragraph 4.6(h) of the U.P. Electricity Supply Code, 2005?

HOLDING

Yes. The DCGRF recorded a finding of fact that the department had shown no transparency in releasing the new connection and that the consumer had been unnecessarily harassed by non-compliance with the requirement of

paragraph 4.6(h) of the Supply Code, 2005; the connection had been denied for reasons not at all applicable to the grant of a new connection. The High Court found this approach legally unsustainable and untenable and affirmed the finding. ¶ 8

EVIDENCE *“It has also recorded a finding that consumer has been unnecessarily harassed by not complying with the requirement of paragraph 4.6(h) of Supply Code, 2005.”* ¶ 8

PRINCIPLE TAGS

connection-must-be-released-with-a-meter Releasing an electricity connection without installing a meter is illegal under the Electricity Act, 2003; the proviso to Section 55(1) even allows a consumer to install a purchased meter, so meter-unavailability is no excuse for a meterless release. ¶ 9-11

damages-for-licensee-delay-under-para-7-7-2 Concurrent DCGRF and Electricity Ombudsman findings of delay and laches justify damages under paragraph 7.7.2 of the Supply Code, 2005; Article 226 interference is refused absent an error apparent on the record. Same paragraph 7.7 cluster as SCJ-261 and SCJ-700. ¶ 12

cost-on-frivolous-state-instrumentality-litigation A State instrumentality challenging a modest consumer-protection award for its own default, without any error apparent on the record, prosecutes frivolous and vexatious litigation liable to be dismissed with cost; departmental action against the defaulting officials is the proper course. ¶ 13-14

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — FIXING OF INDIVIDUAL RESPONSIBILITY ON THE OFFICIALS WHO CAUSED THE ILLEGAL, METERLESS AND DELAYED RELEASE

The Court observed that the Managing Director had not examined who was responsible for the belated, meterless release, and that departmental action ought to have been taken against such officials rather than protecting them; it left the fixing of individual responsibility to the licensee's administration rather than deciding it. ¶ 13

RELATED CASES — SEE ALSO

SCJ-261 — Kanpur Electricity Supply Company Ltd. - same licensee-petitioner - in the paragraph 7.7 damages cluster of the U.P. Electricity Supply Code, 2005.

SCJ-700 — UPPCL v. Ombudsman: paragraph 7.7 damages and confirmation by the Electricity Ombudsman.

SCJ-201 — Clause 4.6 cluster on release of new connections under the U.P. Electricity Supply Code, 2005.

SCJ-258 — Executive Engineer's writ in the Clause 4.6 connection-release cluster (licensee challenging consumer-side relief).